

Saas Customer Churn Analysis

BUSINESS INTELLIGENCE CASE STUDY FOR RAVENANALYTICS

ENDTO END PROJECT | **TOOLS USED:** PYTHON , MYSQL WORKBENCH, POWER BI

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Summary

Ravenanalytics has been facing churn issues since 2023-2024. I have taken the responsibility to find the WHY.

After digging into the data, I came to analyse that company is losing high values since Aug-2024.

Enterprise tier is suffering the most.

Customers in Germany are most disappointed.

The main reason for churns came out to be 'features'.

Company's net MRR amount is positive, but soon can degrade.

problem

To understand the customer behaviour, churn analysis was carried out.

Primary Focus was laid out on:

- Churn Rate
- Active and Inactive Customers
- Churn by Region
- Churned Customers
- Month wise churn distribution
- Top Churning Reason
- Churn by Plan Teir

Five Datasets were included in the analytics:

- 1.Accounts
- 2.Subscriptions
- 3.Churn Events
- 4.Feature Usage
- 5.Support Tickets

- Total Number of Customers : **500**
- Churned Customers : **110**
- Demographics : **7 countries**
- Plan Tier : **3**
- Target Variable : **Churn**
- Time Period : **2023-2024**

01

TOTAL CUSTOMERS

An account of total customers that company is entertaining

02

CHURNED CUSTOMERS

most important KPI, the data team flagged churns, taking data from 2023 to 2024.

03

CHURN BY REGION

the company is entertaining 3
main regions.

04

CHURN RATE

expresses the rate by which customers are leaving the services

05

CHURN BY TIER

helps in identifying which tier
faces the most churn

06

CHURN REASON

shows the top reason
accounted for churns

07

MONTHLY CHURN ANALYSIS

shows the monthly churn numbers

08

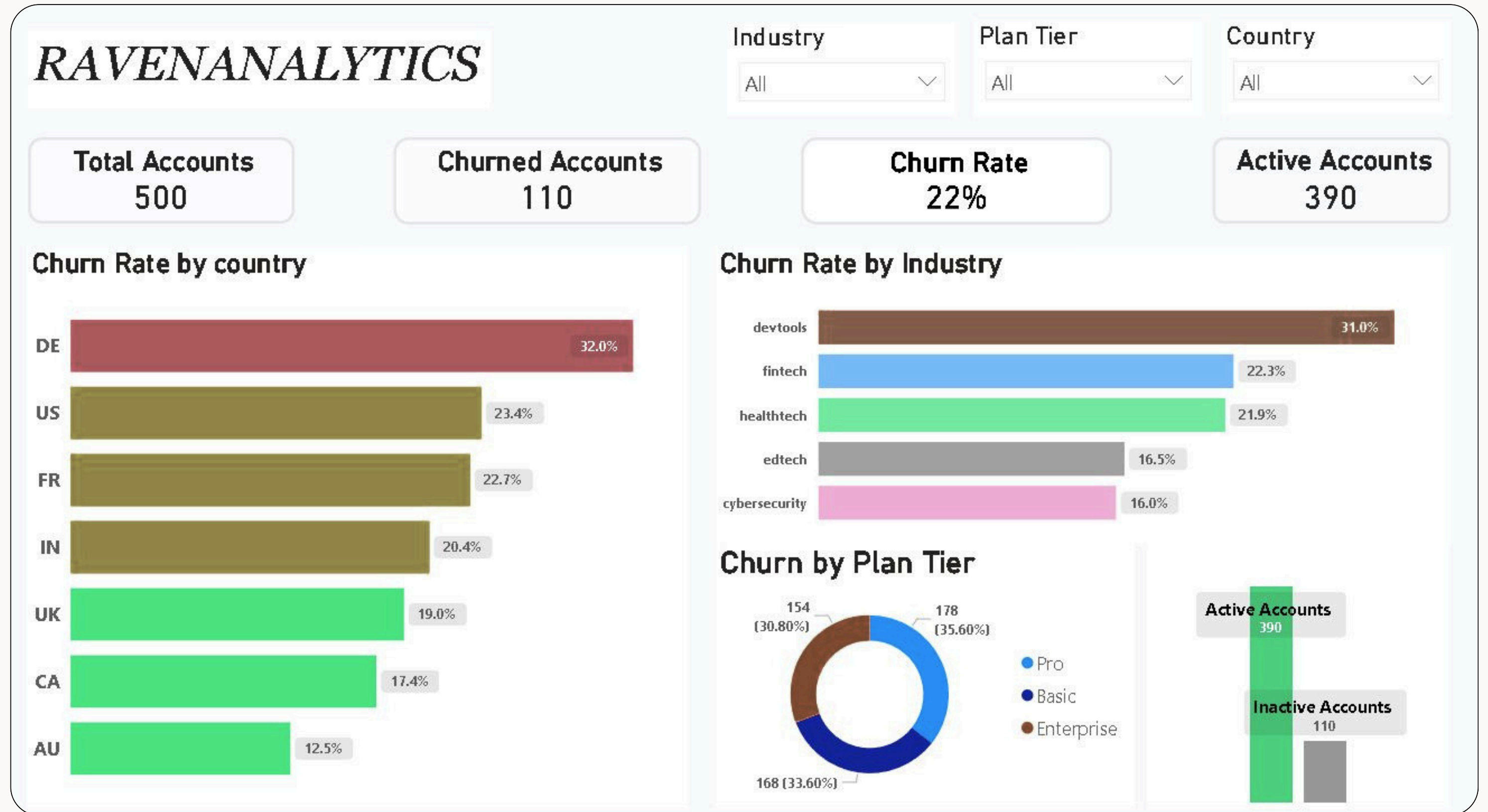
MRR LOST

the revenue lost due to
churns

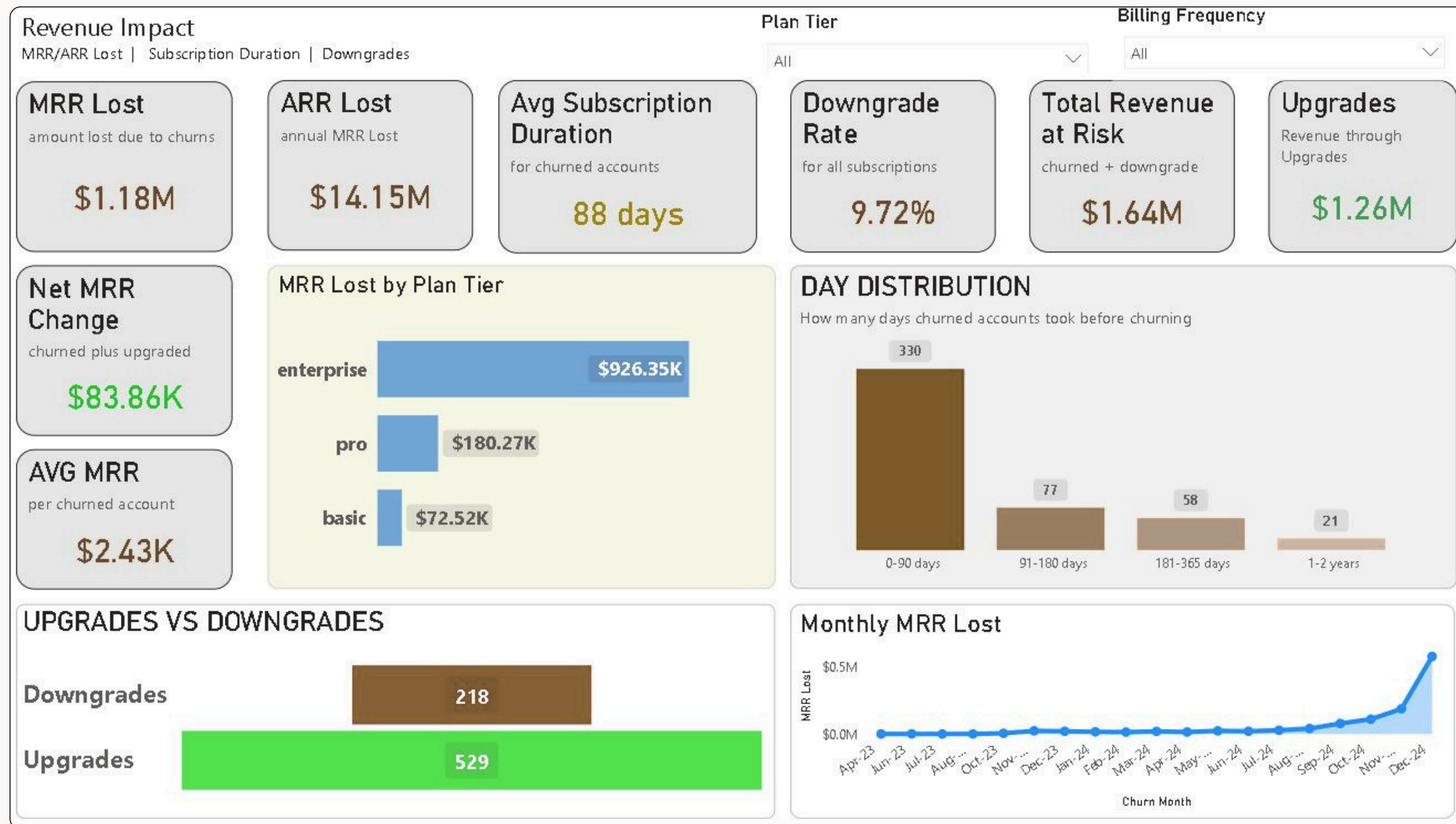
Analytics

- **Total accounts** : 500, out of which **110 churned** (22%). A quite high rate for SaaS business.
- **Germany** has the highest churn at **32%**. Australia has the lowest one (12.5%).
- **Devtools** industry churns the most at **31%**.
- Total **MRR lost: \$1.18M**, annually: \$14.15M. A very high bleeding amount.
- **Enterprise Accounts** resulted in **loss of majority** of MRR (\$926K). The number of enterprise accounts are quite less, meaning losing even small number of accounts will burn the MRR more.
- **Positive NET MRR** came out to be positive(\$83K : A good sign, for now).
- **68%** churned accounts left within first **90 days**!
- Top Churning Reason: **Features**.
- Only **10.17%** of churned accounts **reactivated**.
- **Churns accelerated** month over month highest during **Dec-2024**.

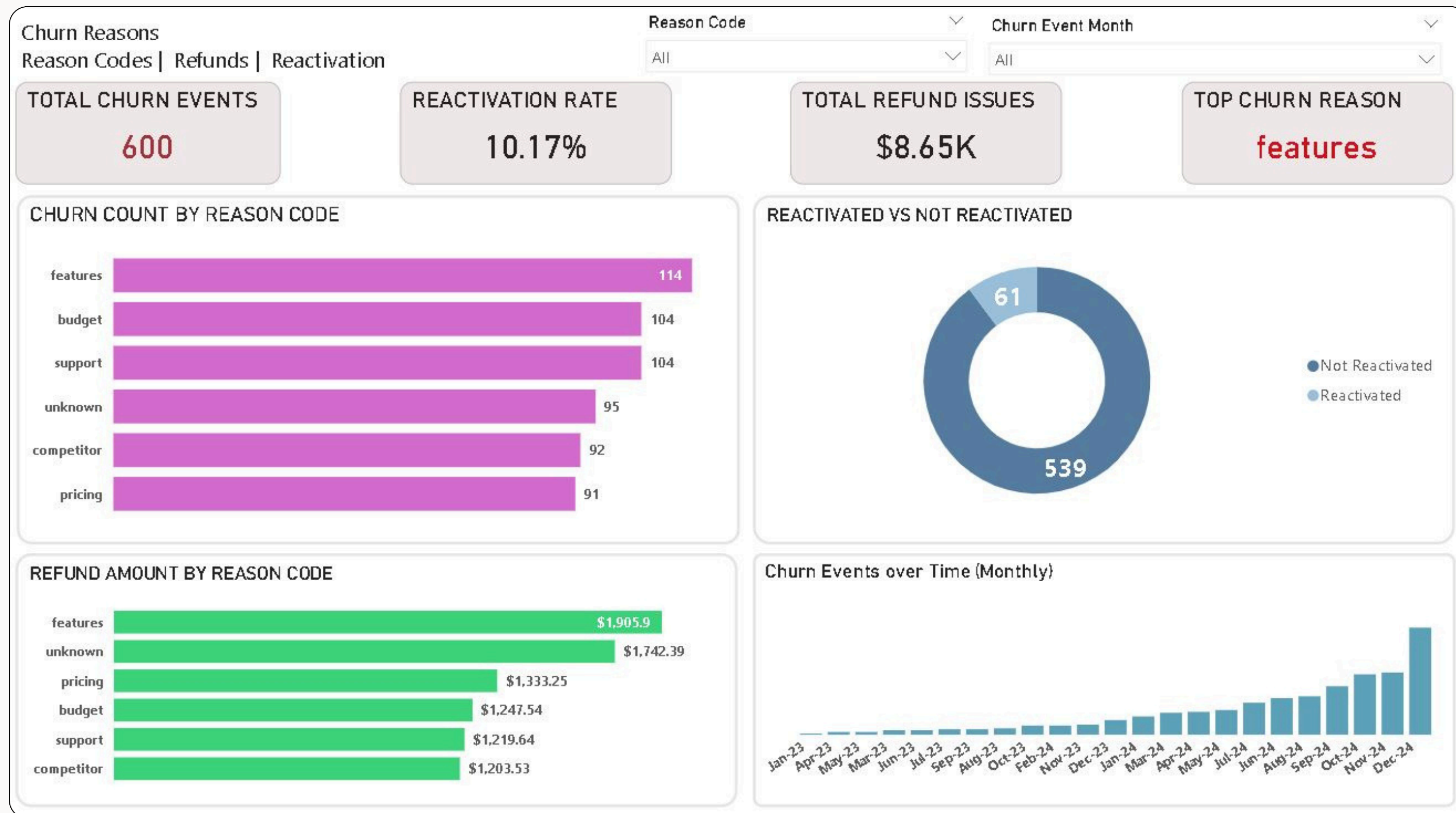
Dashboard



Dashboard



Dashboard



Recommendations

- A **freemium/extended trial** to retain the customers first 60 days. A dedicated customer rep to be assigned for each Enterprise Account
- More **focus** on customer experience and feedback due to 'features' being the top reason for churn.
- **Enterprise Retention is Non-negotiable.** Monthly VP/CEO level meetings to set for SaaS analysis/feature analysis. More discounts to be given to the enterprise accounts. Ticket Resolving time to be very less for such accounts.
- A **deep-dive analysis for Dec-2024 churn spike**. A very big red flag for the company.
- A '*We Heard You*' campaign, asking customers for feature improvement ideas.
- Germany needs instant attention. Hire better supervisors who speak german for better customer experience.

The Impact

We calculated an annual MRR lost of \$14.15M. A HUGE amount.

Implementing the right actions will lead to **increased revenue by approx ~15M.**

Combining it with lesser refunds, the revenue will be boosted by **~23.65k per year.**

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